The world in brief

Catch up quickly on the global stories that matter

Photograph: AP

America's war secretary implored **Iran's** leaders to make a deal with Donald Trump. Pete Hegseth said America considered Iran to have a "new regime" during a press conference. (In reality Iranian security forces have only tightened their grip on power.) Meanwhile, Mr Trump lashed out at allies on social media, singling out Britain, who should "fight for yourself" and "get your own oil".

Rising energy costs pushed the **euro zone's** annual inflation rate to 2.5% in March, up from 1.9% in February and well above the European Central Bank's target of 2%. It is the largest monthly climb since a similar energy spike in 2022. Some monetary officials have recently suggested that the ECB may start raising interest rates again as soon as April 30th when it next meets.

Japan deployed long-range missiles for the first time. The land-to-ship rockets, which have a range of 1,000 kilometres—enough to hit targets as far as China—will be based at a military camp in Kumamoto in the south-west. Japan is expanding its offensive capabilities under its new government to increase deterrence against its increasingly aggressive neighbours, China and North Korea.

Brookfield, a Canadian asset manager, purchased a rental-housing portfolio in Spain from **Blackstone**, a rival, for around €1.05bn ($1.2bn). The deal includes roughly 5,000 apartments across 47 buildings in Madrid. Blackstone, the world's largest property investor, entered the Spanish market after home prices collapsed in the aftermath of the global financial crisis.

Nasdaq said it will fast-track the process for newly listed large-cap companies entering its main index. The so-called "seasoning" period will be cut from over three months to 15 trading days. That would bring forward hefty stock purchases by passive funds. The carrot comes as SpaceX plans the largest IPO in history. LSEG, a rival, has suggested five trading days for entry to its Russell indices.

Jamieson Greer, America's trade envoy, said the **World Trade Organisation** would play a "limited role" in determining global policy, after talks aimed at reforming the body collapsed on Sunday. Discussions stalled partly because of disagreements over e-commerce tariffs. America wanted to indefinitely extend a moratorium on charging duties on electronic transmissions; Brazil opposed the measure.

The longest-running international music competition is coming to Asia. **Eurovision** will once again foray abroad (it held an unsuccessful American Song Contest in 2022) with the final taking place in Thailand's capital, Bangkok, in November. Ten countries have already said they will participate, including South Korea, Bhutan and the Philippines. Last year 163m people watched the original version of the kitsch and often politically contentious song contest.

Figure of the day: 35%, the share of critics who liked "Dhurandhar". Read about the muscular politics of Bollywood's newest megahit.

Photograph: 31st Marine Expeditionary Unit

Will the Iran war turn into a ground invasion?

“Maybe we take Kharg Island, maybe we don’t,” Donald Trump said on Sunday. America has threatened to make the wedge of land in the Gulf that Iran uses to export 90% of its oil the site of a possible ground invasion. Could America put boots on the ground? A unit of several thousand Marines is already in the Middle East, and another unit left California on March 18th, but is unlikely to arrive for two weeks or so. A further 2,000 troops from the 82nd airborne division reportedly began arriving in the region over the weekend.

Invading Kharg Island could stymie Iran’s lucrative oil exports, but the possible costs to America are steep: even higher petrol prices and military casualties. If American troops go in, limited raids inland that target launchers and storage sites may be more likely than the seizure of territory. Mr Trump will consider the political risk; Iran’s leaders have no midterm elections to worry about.

Photograph: Alamy

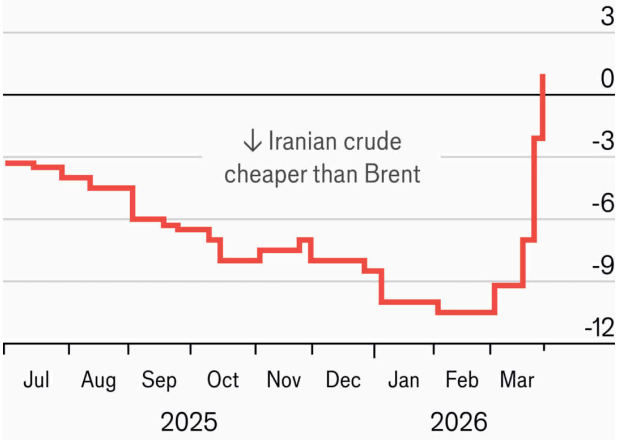
Iran’s oil empire

Unlike its neighbours Iran earns nearly twice as much from oil sales each day as it did before the war. A source told *The Economist* the country is exporting 2.4m-2.8m barrels of oil and petroleum products per day, over half of which is crude—the same, or more, than on average last year, but at much higher prices. Almost all of it flows through Kharg Island.

China absorbs more than 90% of Iran’s oil, mostly through 100-odd small “teapot” refineries, which are in theory independent of state-owned giants (the reality is murkier). Most of the proceeds go through a shadow-payment system of shell companies and accounts linked to Iran, ultimately benefiting the regime. Iranian officials appear to be preparing to defend Kharg, and are building up stocks at their smaller terminals. But these would only handle roughly a quarter of Iran’s current oil exports, should Kharg be taken out.

Islamic revolution

Price difference between Brent and Iranian crude oil*, shipments to China, $ per barrel



Source: Argus Media

*Four-month forward

Photograph: Getty Images

Emmanuel Macron jets off to Japan

The French president arrives in Japan on Tuesday, for his fourth official trip. Emmanuel Macron is bringing a planeload of French business chiefs, including bosses from AI, quantum and space startups. Yet the geopolitical crisis in the Gulf will probably dominate the visit.

Japan relies heavily on oil imports that pass through the Strait of Hormuz, now largely blocked. The country, with Canada, France and others, has agreed on a “readiness to contribute” to efforts to ensure safe passage through the strait (though not to unblock it).

Japan also belongs to the “coalition of the willing”, a Franco-British attempt to plan for Ukraine’s post-war security. In preparation for the G7 meeting in France in June, Mr Macron is expected to seek the support of Takaichi Sanae, Japan’s prime minister, in correcting “global economic imbalances” that benefit China in particular. Mr Macron’s visit may have a Japanese flavour—he will call on the Imperial Palace in addition to a summit in Tokyo—but the agenda will be decidedly global.

Photograph: EPA

The Philippines' flood-control fiasco

Torrential downpours are common in the Philippines. But the disaster-prone nation is now weathering a different kind of storm: a corruption scandal over hundreds of millions of dollars in stolen funds intended for flood-control projects. On Tuesday a commission carrying out a probe into the embezzlement dissolves. Its findings implicate members of congress, civil servants and contractors accused of pocketing funds earmarked for projects that either failed or were never finished (or even started).

President Ferdinand "Bongbong" Marcos, who ordered the investigation, claims credit for exposing the scandal. The son of the late president, Ferdinand Marcos senior, he is eager to restore his family's reputation, which was tarnished by the corruption that flourished under his despotic father. But until prominent figures are convicted and sentenced, sceptics will remain unconvinced that any politician belonging to the Marcos clan—past, present or future—can break the cycle of graft.

Photograph: Getty Images

Are India’s Maoists done?

By Tuesday, India will be free of the world’s longest-running Maoist insurgency—at least according to a promise made by Amit Shah, the country’s home minister. In reality, there will still be Maoists milling about Indian jungles. Yet India is indeed on the cusp of dismantling the so-called Naxalite movement, which has plagued the country since 1967.

Once considered India’s greatest internal security threat, the guerrilla group had around 20,000 fighters across more than 200 districts in the late 2000s. Today it is active in just seven districts. With almost the entire central committee gone, morale has collapsed and footsoldiers have surrendered in droves. The induction of tribal groups—who have long made up the majority of Maoist forces—into India’s security forces has provided invaluable intelligence on the movement.

But the troubles that fuelled it remain. Locals worry that the crackdown on insurgents is a precursor for mining giants to seize mineral-rich tribal lands, continuing a cycle of mass displacements.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Tuesday: Who served as both American ambassador to the United Nations and director of the CIA in the 1970s?

Monday: Richard Nixon proposed which long-running Mississippi senator, who suffered from poor hearing, as an intermediary who should listen to the Watergate tapes and summarise them for investigators?

Conquer yourself rather than the world.

René Descartes